

bankruptcy it didn't have to pay any taxes on millions in profits from the new operations it was about to acquire. In those years the corporate tax rates were 50 percent, so Penn Central could buy a company and double its earnings overnight, simply by paying no tax. The Penn Central turnaround took the stock from \$5 in 1979 to \$29 in 1985.

Bethlehem Steel currently has \$1 billion in operating-loss carryforwards, an extremely valuable asset if the company continues to recover. It means that the next \$1 billion that Bethlehem earns in the U.S. will be tax-free.

CASH FLOW

Cash flow is the amount of money a company takes in as a result of doing business. All companies take in cash, but some have to spend more than others to get it. This is a critical difference that makes a Philip Morris such a wonderfully reliable investment, and a steel company such a shaky one.

Let's say Pig Iron, Inc. sells out its entire inventory of ingots and makes \$100 million. That's good. Then again, Pig Iron, Inc. has to spend \$80 million to keep the furnaces up-to-date. That's bad. The first year Pig Iron doesn't spend \$80 million on furnace improvements, it loses business to more efficient competitors. In cases where you have to spend cash to make cash, you aren't going to get very far.

Philip Morris doesn't have this problem, and neither does Pep Boys or McDonald's. That's why I prefer to invest in companies that don't depend on capital spending. The cash that comes in doesn't have to struggle against the cash that goes out. It's simply easier for Philip Morris to earn money than it is for Pig Iron, Inc.

A lot of people use the cash flow numbers to evaluate stocks. For instance, a \$20 stock with \$2 per share in annual cash flow has a 10-to-1 ratio, which is standard. A ten percent return on cash corresponds nicely with the ten percent that one expects as a minimum reward for owning stocks long term. A \$20 stock with a \$4-per-share cash flow gives you a 20 percent return on cash, which is terrific. And if you find a \$20 stock with a sustainable \$10-per-share cash flow, mortgage your house and buy all the shares you can find.

There's no point getting bogged down in these calculations. But if cash flow is ever mentioned as a reason you're supposed to buy a stock, make sure that it's free cash flow that they're talking about. Free cash flow is what's left over after the normal capital spending is taken out. It's the cash you've taken in that you don't have to spend. Pig Iron, Inc. will have a lot less free cash flow than Philip Morris.

Occasionally I find a company that has modest earnings and yet is a great